CHAPTER 3

Public Finance

In the wake of the recommendations of the Twelfth Finance Commission (TFC) leading to the enactment of the Fiscal Responsibility & Budget Management (FRBM) Act, 2006 by the Government of Goa, the fiscal milieu has undergone a paradigm shift. The Government of India (GOI) cognizant of the mounting burden of interest payment on the States and to supplement their efforts towards fiscal management had formulated a Debt Swap Scheme. The scheme was in operation from 2002-03 to 2004-05 and it capitalized on the prevalent low interest regime to enable States to prepay expensive loans contracted from Government of India with low coupon bearing small savings and open market loans. The scheme covered outstanding high cost loans with interest rate of 13% and above. An amount of Rs.106076.00 crore was prepaid to GOI by the States from small savings loans and open market borrowings. The outstanding high cost loan of Goa, as on 31.02.2002, was Rs.374.05 crore. Till the end of March 2005, Rs.406.25 crore had been swapped.

In accordance with the Constitution (Eightieth Amendment) Act, 2000, which was given retrospective effect from April 1, 1996, all taxes referred to in the Union List, except the duties and taxes referred to in Articles 268 and 269 respectively, surcharge on taxes and duties referred to in Article 271 and any cess levied for specific purpose under any law made by the Parliament shall be levied and collected by the Government of India and shall be distributed between the Union and the States in such manner as may be prescribed by the President on the recommendations of the Finance Commission. In terms of the TFC recommendations, the share of Goa in the net proceeds of all the shareable Union Taxes in each of the 5 financial years during 2005-06 to 2009-10 is 0.259% and the corresponding share in Service Tax is 0.262%. The criteria and relative weights adopted by the Eleventh Finance Commission (2000-2005) and Twelfth Finance Commission (2005-2010) respectively for determining the inter-se share of States is given in table 3.1

Table 3.1 : Criteria and relative weights

Sl. No.	Criterion	Relative Weight (per cent)	
		11th Finance Commission	12th Finance Commission
1	Population	10.0	25.0
2	Income (Distance Method)	62.5	50.0
3	Area	7.5	10.0
4	Index of infrastructure	7.5	0.0
5	Tax effort	5.0	7.5
6	Fiscal Discipline	7.5	7.5

Accordingly, the aggregate transfer of tax revenue from the Centre during 2001-02 to 2007-08 is shown in the table below. The total devolution has registered compound rate of growth of 20.24%. The higher devolution arising from the recommendations of the TFC vis-à-vis the Eleventh Finance Commission has contributed significantly to the reduction in the fiscal deficit (Refer table 3.2)

Table 3.2 : Net Budgetary Transfer of the Union Taxes and Duties to Goa

(Rs. in crore)

		2001-02	2002-03	2003-04	2004-05	2005-06	2006-07	2007-08
1	Corporation Tax	23.19	28.11	29.20	51.10	74.33	87.51	96.26
		(7.01)	(21.22)	(3.88)	(75.00)	(45.46)	(17.73)	(10.00)
2	Income Tax	20.84	23.95	23.82	27.58	48.05	55.94	61.53
		(36.12)	(14.92)	(-0.54)	(15.79)	(74.22)	(16.42)	(9.99)
3	Service tax	2022	3.72	4.93	8.63	13.72	27.03	29.73
		(63.24)	(67.57)	(32.53)	(75.05)	(58.98)	(97.01)	(9.99)
4	Wealth Tax	0.09	0.04	0.04	0.03	0.13	0.13	0.13
		(0.00)	(-55.56)	(0.00)	(-25.00)	(333.33)	(0.00)	(0.00)
5	Customs Duty	22.21	26.97	28.75	31.49	39.42	57.95	63.75
		(-19.41)	(21.43)	(6.60)	(9.53)	(25.18)	(47.01)	(10.00)
6	Union Excise Duty	38.53	43.52	44.02	50.71	70.48	65.61	72.17
		(-0.33)	(12.95)	(1.15)	(15.20)	(38.99)	(-6.91)	(9.99)
7	**TOTAL**	**107.08**	**126.31**	**130.76**	**169.54**	**246.13**	**294.17**	**323.57**
		(2.32)	(17.96)	(3.52)	(29.66)	(45.18)	(19.52)	(9.99)

(% minus over previous year)

Federalism: The borrowing options and compulsions

The Central Government provides loans and advances to the State Governments at varying interest rate for different purposes. For example, the Ways and Means Advances (W&MA) carry interest rate of 7.5% per annum and are recoverable within the year. [The W&MA are in the nature of a cushion to the States to carry on their essential activities despite mismatch in fiscal transactions and to avoid disruptions to the normal and necessary financial operations of the State].

Federalism: The borrowing options and compulsions

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Other loans from the Central Government viz., block loans for State Plan Schemes and Centrally Sponsored Schemes carry interest rate of 9%. These loans when drawn in installments are consolidated and deemed to have been drawn as on 1st October in each year. The maturity period of the loans sanctioned for State Plans from 1990-91 onwards is 20 years. The repayment is done in 20 equal installments together with interest on the outstanding balance commencing from the following year. The interest rates assume timely payment of annual installment of principal and interest and no further rebate in rates is admissible.

All deposits under small savings schemes viz., Post Office Savings Account, Post Office Time Deposits, Post Office Monthly Income Account, Senior Citizens Savings Scheme, National Savings Certificate (VIII-issue), Kisan Vikas Patra and Public Provident Fund are credited to the "National Small Savings Fund" (NSSF), established in the Public Accounts of India. The entire net collections under small savings schemes in each State are advanced to it as investment in special securities. Interest @ 9.50% per annum is payable on the special securities issued by the State Government.

The Winds of Change

A very bold recommendation of the TFC was that the system of imposing 70:30 ratio between loans and grants for extending plan assistance to non-special category States (10:90 in the case of special category States) should be done away with. Instead, the Centre should confine itself to extending plan grants to the States, and leave it to the States to decide how much they wish to borrow and from whom. However, if some fiscally weak States are unable to raise funds from the market, the Centre could borrow for the purpose of on lending to such States, but the interest rates should remain aligned to the marginal cost of borrowing for the Centre.

Consequently, the GOI has disintermediated from the lending process and only the grant portion of the assistance is being released to the States. Each State has to raise market borrowing for the loan portion of the State Plan Schemes subject to its borrowing cap for the year. For example, the annual borrowing for Goa during the year 2005-06 was capped at Rs. 479.62 crore. This ceiling is intended as part of the exercise to bring in debt sustainability over the medium term and to keep the States' debt to prudential level. It is against this background that the Government of Goa has created a Debt Management Unit (DMU) in the Finance Department and the Medium Term Fiscal Policy is being put in place.

BOX 3.1

FRBM THE GENESIS, THE TRAJECTORY AND THE RATIONALE OF 3% CAP ON FD

The Maastricht Treaty, which laid the framework for the creation of the European Union (EU), had stipulated a condition that for the membership of the European Monetary Union (EMU), the FD of a nation must not exceed 3% of its GDP. The Protocol on the Excessive Deficit Procedure, annexed to the Maastricht Treaty, defines 2 criteria and reference values for compliance viz., (a) FD/GDP ratio of 3%, and (b) Debt/GDP ratio of 60%. The Maastricht Treaty was signed on February 02, 1992 at Maastricht, in the Netherlands, where the final negotiations had taken place during December 1991. The Treaty entered into force w.e.f. November 01, 1993 and it has been amended to a degree by later Treaties.

The EU comprises 12 members viz., Austria, Belgium, Finland, France, Germany, Greece, Ireland, Italy, Luxembourg, the Netherlands, Portugal and Spain. It is widely believed that on account of its special history of hyper-inflationary instability and budget deficit, Germany was too sensitive to and overtly concerned with the phenomenon. Therefore, the German Government felt convinced that multilateral surveillance of EU member States' fiscal policies was essential for the success of the EMU. Accordingly, in the then prevalent circumstances, the FD was capped at 3%. However, the Maastricht Treaty definition of FD is in respect of the general Government deficit, which includes the deficits of both the national and sub-national governments, the latter comprising State governments, local governments and also social security funds.

The Government of India passed the Fiscal Responsibility and Budget Management (FRBM) Act 2003 (39 of 2003) and framed the FRBM Rules, 2004, which came into force on the 5th day of July 2004. These lay down annual target for reduction in revenue deficit (RD) by 0.5% or more and fiscal deficit (FD) by 0.3% or more, beginning with the financial year 2004-05 so that by the end of 2008, the RD is wiped out and the FD is brought down to not more than 3% of the GDP. Also, the Central Government shall not give guarantees aggregating to an amount exceeding 0.5% of the GDP in any financial year. Moreover, it shall not assume additional liabilities (including external debt at current exchange rate) in excess of 9% of the GDP for the financial year 2004-05 and in each subsequent financial year, the limit of 9% of GDP shall be progressively reduced by at least 1% of GDP.

Besides, the FRBM Rules provide for the laying of (i) Medium Term Fiscal Policy Statement (ii) Fiscal Policy Strategy Statement and (iii) Macro Economic Framework Statement in prescribed forms before both Houses of Parliament along with the annual financial Statement and demands for grants. The disclosure clause stipulates that at the time of presenting the annual financial Statement and the demand for grants, the Central Government shall make disclosures in prescribed forms of (a) any significant change in accounting standards, policies and practices affecting or likely to affect the computation of the prescribed fiscal indicators (b) receivables (Tax revenues raised but not realized and arrears of non-tax revenue) (c) guarantees, and (d) assets. Also, measures to enforce compliance have been listed.

The Government of Goa has followed suit and enacted the Fiscal Reform and Budget Management Act 2006. The Act sets the target to reduce revenue deficit to NIL and to bring down the ratio of fiscal deficit to GSDP to 3% by 31st March 2009. This enactment makes the Government of Goa eligible for consolidated debt relief to the tune of Rs. 250 crore from the Centre, as per the Twelfth Finance Commission recommendations.

The Twelfth Finance Commission has recommended that the Central Government should gradually move towards accrual basis of accounting. In the interim period, additional information in the form of Statements should be appended to the present system of cash accounting to enable more informed decision-making. The additional information may relate to subsidies, expenditure on salaries, expenditure on pensions, committed liabilities, maintenance expenditure, segregation of salary non-salary portions and liabilities and repayment schedule on outstanding debts. The definition of revenue and fiscal deficits be standardized and instructions for a uniform classification code down to the object head may be issued to all the States. Even as the recommendation will take time to be implemented in meaningful terms, the FRBM Rules, 2004 have, *inter-alia*, incorporated disclosure Statements regarding the receivables and assets. This is in keeping with the emerging debt management strategy whereby the structure of the Government is being sought to be analyzed within an asset-liability framework by adopting definitions that accord with the Generally Accepted Accounting Practices (GAPP). In such a framework, the assets would comprise physical infrastructure, lending by Government, securities, receivables etc., while the liabilities in addition to debt would include payables, provisions and unfunded pension liabilities. Although, the institutionalization of such framework may be time consuming, yet with emphasis on accountability, transparency and e-governance and availability of efficient networking and computing technology, the gradual switch over to the accrual basis may not encounter much friction.

The Fiscal Parameters

The annual financial Statement (AFS) presents the budget estimates (BE) for the financial year to which it pertains, the revised estimates (RE) for the preceding financial year and the actuals for the last but preceding financial year. However, the actuals may be provisional. Thus, for example, the AFS 2007-08 will comprise BE 2007-08, RE 2006-07 and actuals 2005-06. Accordingly, the various fiscal parameters of the Government have been analyzed in the subsequent paragraphs, having regard to the availability of actuals, as authorized in the Government Finance Accounts, which are an adjunct to the Audit Report.

1. Revenue Receipts

The revenue receipts comprise i) State's Own Tax Revenue, ii) State's Own Non-Tax Revenue and iii) Transfers from Government of India. These are described ahead.

i) State's Own Tax Revenue

Trend in State's Own Tax Revenue from 1994-95 to 2007-08 is given in table 3.3.

Table 3.3 : State's Own Tax Revenue 1994-95 to 2007-08

(Rs. in crore)

Sl. No.	Year	Sales tax	State excise	Other taxes	Total
1	1994-95	159.23	26.01	40.76	226.00
2	1995-96	193.50	26.95	51.25	271.70
3	1996-97	220.30	26.76	55.67	302.73
4	1997-98	258.22	31.99	75.09	365.30
5	1998-99	254.22	35.17	67.82	357.21
6	1999-2000	348.18	36.06	74.24	458.48
7	2000-01	387.82	39.98	87.49	515.29
8	2001-02	401.47	46.13	122.30	569.90
9	2002-03	439.19	46.78	116.84	602.81
10	2003-04	502.36	53.43	154.98	710.77
11	2004-05	567.19	55.33	233.92	856.44
12	2005-06	743.31	55.35	297.81	1096.47
13	2006-07 (RE)	830.00	67.00	288.85	1185.85
14	2007-08 (BE)	841.10	67.00	324.98	1233.08

It is pertinent to note that Sales Tax accounts for 68% of total tax revenue. During the period 1994-95 to 2007-08 (BE), the annual compound growth rate of State's own tax revenue works out to 13.94%. During the same period, the annual compound growth rate in Sales Tax and State Excise works out to 13.66% and 7.55% respectively.

ii) State's Own Non-Tax Revenue

Trend in State's Own Non-Tax Revenue is given in table 3.4

Table 3.4 : State's Own Non-Tax Revenue 1994-95 to 2007-08

(Rs. in crore)

Sl. No.	Year	Power (net)	Water supply	Others	Total
1	1994-95	21.51	11.27	28.98	61.76
2	1995-96	31.16	15.50	37.65	84.31
3	1996-97	48.16	17.65	35.21	101.02
4	1997-98	29.56	19.08	48.54	97.18
5	1998-99	73.59	41.19	43.02	157.80
6	1999-2000	31.96	40.20	47.12	119.28
7	2000-01	-2.29	43.59	61.48	102.78
8	2001-02	60.04	53.13	80.97	194.14
9	2002-03	193.58	55.71	80.4	329.69
10	2003-04	223.89	54.66	77.92	356.47
11	2004-05	225.28	54.95	89.64	369.87
12	2005-06)	251.76	84.70	61.73	398.19
13	2006-07 (RE)	261.73	85.23	101.34	448.30
14	2007-08 (BE)	285.00	85.23	128.91	499.14

Power and water are the major sources of non-tax revenue. It is evident from the table that non-tax revenue collection also has shown a phenomenal increase during recent years. During the period 1994-95 to 2007-08 (BE), the annual compound growth rate of State's Own Non-Tax Revenue works out to 17.44%. During the same period, the annual compound growth rate in revenue from power and water supply works out to 21.99% and 16.84% respectively.

iii) Transfers from Government of India

Transfers from Government of India may be broadly classified into 3 categories viz. Share in Central taxes following from the recommendation of Finance Commission, Plan grants under Gadgil-Mukherjee formula from the Planning Commission and funds under the Centrally Sponsored Schemes from Ministries/Departments of the Central Government. Transfers from Government of India during the period 1994-95 to 2007-08 (BE) is given in table 3.5.

Table 3.5 : Transfers from Government of India

(Rs. in crore)

Sl. No	Year	Central taxes	Grants	Total
1	1994-95	86.90	71.04	157.94
2	1995-96	71.05	73.25	144.30
3	1996-97	90.55	69.80	160.35
4	1997-98	96.57	63.80	160.37
5	1998-99	97.12	42.34	139.46
6	1999-2000	95.92	40.12	136.04
7	2000-01	104.85	66.95	171.80
8	2001-02	107.26	59.29	166.55
9	2002-03	114.01	77.02	191.03
10	2003-04	135.07	52.55	187.62
11	2004-05	162.16	72.16	234.32
12	2005-06	244.72	66.52	311.24
13	2006-07 (RE)	294.44	138.93	433.37
14	2007-08 (BE)	323.84	207.75	531.59

The rate of transfer of resources from Government of India has been rather low. During the period 1994-95 to 2007-08 (BE), it has registered annual compound growth rate of 9.79%. The low growth rate is mainly due to the fact that the transfer of resources from Government of India is largely formula based.

As against the Eleventh Finance Commission package of Rs.821.56 crore for the period 2000-05, the Twelfth Finance Commission has recommended devolution of Rs.1724.53 crore to Goa for the period 2005-2010 which represents increase of 110%. This comprises share in central taxes of Rs.1589.14 crore and grants-in-aid of Rs.135.39 crore. While the increase in share in 'central taxes' works out to 105%, the increase in 'grants-in-aid' stands at 192%. Based on the assessment needs and developmental concerns of the States, the

BOX 3.2

NORMAL CENTRAL ASSISTANCE :THE GADGIL-MUKHERJEE FORMULA IN PERSPECTIVE

Up to the 3rd Five Year Plan (FYP) [1961-66] and during the Plan Holiday (1966-69), allocation of Central Plan Assistance was schematic and no formula was in use. The *Gadgil Formula* comprising (i) Population [60%] (ii) Per Capita Income (PCI) [10%] (iii) Tax Effort [10%] (iv) On-Going Irrigation & Power Projects [10%] and (v) Special Problems [10%] was used during the 4th FYP (1969-74) and the 5th FYP (1974-78).

However, since item (iv) was perceived as being weighted in favour of rich States, the formula was *modified* by raising the weightage of PCI to 20%. The National Development Council (NDC) approved the modified Gadgil formula in August 1980. It formed the basis of allocation during the 6th FYP (1980-85), the 7th FYP (1985-90) and the Annual Plan (AP) 1990-91. Following suggestions from the State Governments, the *modified Gadgil Formula was revised* to Population (55%), PCI [25% {20% by deviation method and 5% by distance method}], Fiscal Management (5%) and Special Development Problems (15%). However, it was used only during the AP 1991-92.

Due to reservations of the State Governments on the revision, a Committee under Shri Pranab Mukherjee, the then Deputy Chairman, Planning Commission was constituted to evolve a suitable formula. The suggestions made by the Committee were considered by the NDC in December 1991, where following a consensus, the *Gadgil-Mukherjee Formula* was adopted. It was made the basis for allocation during the 8th FYP (1992-97) and it has since been in use. After setting apart funds required for (a) Externally Aided Projects and (b) Special Area Programme, 30% of the balance of the Central Assistance for State Plans is provided to the Special Category States. The remaining amount is distributed among the non-Special Category States, as per the Gadgil-Mukherjee Formula.

THE GADGIL-MUKHERJEE FORMULA

	Criteria	Weight	Remarks
I	Population (1971)	60%	
II	Per capita Income *Deviation method* *Distance method*	25% *20%* *5%*	Covering States with per capita SDP below national average For all States
III	Performance in Tax Effort, Fiscal Management and Progress in respect of National objectives	7.5%	Tax policy [2.5%], Fiscal Management [2.0%], National objectives [3%] comprising population control (1.0%), elimination of illiteracy (1.0%), timely completion of Externally Aided Projects (0.5%) and land reforms (0.5%)
IV	Special Problems	7.5%	

grant-in-aid recommended by the Twelfth Finance Commission for the award period 2005-2010 is given in table 3.6.

Table 3.6 : Grants-in-aid to States for the period 2005-2010

(Rs. in crore)

Sl. No.	Item	For all States	Of which for Goa
1	Post-devolution non-plan revenue deficit	56856	-
2	Health sector	5887	-
3	Education sector	10172	-
4	Maintenance of roads & bridges	15000	39.48
5	Maintenance of buildings	5000	24.18
6	Maintenance of forests	1000	3.00
7	Heritage conservation	625	20.00
8	State-specific needs	7100	10.00
9	Local bodies	25000	30.00
10	Calamity relief	16000	8.73
Total		**142640**	**135.39**

A comparative study of State Finances by the Twelfth Finance Commission focused on some important variables viz. own tax revenues, revenue & capital expenditure, interest payments and pensions, revenue & fiscal deficits and outstanding liabilities. The study covered all special category and non-special category States (also called as general category States) including Goa.

Comparative performance of States in terms of Tax/GSDP ratio as regards Own Tax Revenue is given in Annexure 14. It is evident that the average Tax/GDP ratio has by and large increased during the period 2000-03 over 1993-96 for the groups of special category and general category States and all the individual States. The overall increase over the period-averages under review for the States as a whole was 0.67 percentage point for all States relative to the all-State GSDP, 0.66 for the special category States and 0.69 for the general category States group, relative to their respective group-GSDPs.

Comparative performance of States in respect of revenue and capital expenditure as percentage of GSDP is given in Annexure 15. It shows a general upward trend in revenue expenditure during the period 2000-03 over 1993-96. The corresponding ratio for capital expenditure, however, shows a change in the reverse direction. For the special category States group, there is an increase of 1.4 percentage points between the two period averages.

Comparative profile of State expenditure trends in terms of two other important ratios viz. interest payments relative to total revenue receipts (TRR) and pension expenditure relative to GSDP is given in Annexure 16. In the absence of adequate availability of non-debt resources many States relied on increased borrowing to

finance the upward revision of salary scales and pensions during 1977-2000. Consequently, the debt servicing burden of States as typified by the Interest payments to TRR Ratio has increased to unsustainable level.

State-wise position of outstanding debt relative to GSDP in terms of percentages is given in Annexure 17.

It is evident from the annexure that the outstanding liability had increased by nearly 12 percentage points from 1993-96 average of 24.86% to the 2002-03 average of 36.65%.

2. Revenue Expenditure

Trend in revenue expenditure under plan and non-plan during the period 1994-95 to 2007-08 (BE) is given in table 3.7.

Table 3.7 : Revenue Expenditure

(Rs. in crore)

Year	Plan	Non-plan	Total
1994-95	69.64	319.82	389.46
1995-96	80.48	386.95	467.43
1996-97	88.35	453.76	542.11
1997-98	86.80	540.10	626.90
1998-99	105.67	689.58	795.25
1999-2000	122.44	800.23	922.67
2000-01	141.06	874.83	1015.89
2001-02	182.62	976.48	1159.10
2002-03	218.51	1072.07	1290.58
2003-04	283.99	1111.34	1395.33
2004-05	365.19	1218.63	1583.82
2005-06	414.68	1413.07	1827.75
2006-07 (RE)	524.98	1577.40	2102.38
2007-08 (BE)	559.64	1712.08	2271.72

75% of revenue expenditure is accounted for under the non-plan. During the period 1994-95 to 2007-08 (BE), the annual compound growth rate in revenue expenditure works out to 14.53%. During the same period, the annual compound growth rate in plan and non-plan expenditure works out to 17.39% and 13.78% respectively. The non-plan expenditure mainly comprises salaries, interest payment and pension which together account for 55.39%. The trend in expenditure on salaries, interest payment and pensions is given in table 3.8.

Table 3.8: Non-Plan Revenue Expenditure

(Rs. in crore)

Year	Salaries	Interest	Pensions	Others	Total
1994-95	128.09	69.14	15.08	107.51	319.82
1995-96	150.53	89.94	19.78	126.70	386.95
1996-97	171.69	100.50	23.97	157.60	453.76
1997-98	212.18	118.12	29.67	180.13	540.10
1998-99	264.19	143.85	63.20	218.34	689.58
1999-2000	279.57	178.15	68.19	274.32	800.23
2000-01	286.96	212.16	86.43	289.28	874.83
2001-02	313.55	255.97	115.85	291.11	976.48
2002-03	280.32	291.86	137.89	362.00	1072.07
2003-04	319.93	320.85	93.53	377.03	1111.34
2004-05	352.79	322.99	118.30	424.55	1218.63
2005-06	367.70	400.36	132.64	512.37	1413.07
2006-07 (RE)	412.35	431.96	138.85	594.24	1577.40
2007-08 (BE)	451.75	497.00	192.82	570.51	1712.08

During the period 1994-95 to 2007-08 (BE) the annual compound growth rate of expenditure on salaries, interest and pension works out to 10.18%, 16.38% and 21.66% respectively.

3. Capital Expenditure

Capital expenditure comprises expenditure incurred under Plan for development works and mainly debt repayment under non-plan.

The trend in capital expenditure under plan and non-plan during the period 1994-95 to 2007-08 (BE) is given in table 3.9.

During the period, the annual compound growth rate in capital expenditure works out to 15.96%. The annual compound growth rate under plan and non-plan capital expenditure works out to 16.62% and 12.88% respectively.

Table 3.9: Capital Expenditure

(Rs. in crore)

Year	Plan	Non-plan	Total
1994-95	98.45	25.33	123.78
1995-96	131.20	26.59	157.79
1996-97	126.80	31.12	157.92
1997-98	113.28	34.44	147.72
1998-99	126.79	42.93	169.72
1999-2000	129.25	48.27	177.52
2000-01	237.80	64.92	302.72
2001-02	206.29	65.17	271.46
2002-03	215.91	74.06	289.97
2003-04	300.94	96.20	397.14
2004-05	425.54	172.27	597.81
2005-06	579.06	78.94	658.00
2006-07 (RE)	670.28	89.24	759.52
2007-08 (BE)	726.16	122.43	848.59

4. Public Debt

Public debt of the State as on 31st March 2006 was Rs. 3714.47 crore. The public debt position of the State as on 31st March from 2000 to 2006 is given in table 3.10.

Table 3.10 : Public Debt of the State as on 31st March

(Rs. in crore)

Type of loan	2000	2001	2002	2003	2004	2005	2006
1. Central Loan	815.44	981.81	1179.25	1331.32	1542.50	1966.93	2547.85
2. Market Loans (SLR based)	288.16	368.17	457.44	567.45	842.75	961.21	1026.93
3. Loans from LIC	34.45	38.63	36.63	34.64	32.65	30.66	28.67
4. Loans from NCDC	0.10	0.08	0.06	0.05	0.60	1.35	1.21
5. Loans from NABARD	7.67	8.69	19.99	20.92	33.31	28.39	24.31
6. Loans from REC	10.18	9.71	7.86	6.84	4.35	3.16	1.25
7. Loans from PFC	14.17	21.93	29.85	48.58	60.85	70.66	66.46
8. Loans from HUDCO	28.14	51.80	55.60	44.30	32.40	24.31	17.79
9. W&M advances	-	9.35	39.29	87.00	65.76	0.00	0.00
Total Public Debt	**1198.31**	**1490.17**	**1825.97**	**2141.10**	**2615.17**	**3086.67**	**3714.47**

5. Deficit Indicators of the State

Various deficit indicators of the State for the period 1994-95 to 2007-08 (BE) are given in table 3.11.

Table 3.11 : Deficit Indicators of the State

(Rs. in crore)

Year	Revenue Surplus (+)/ Deficit(-)	Fiscal Deficit(-) (Net)	Primary Surplus(+)/ Deficit(-)
1994-95	56.24	-44.53	24.61
1995-96	32.88	-97.35	-7.41
1996-97	22.00	-104.00	-3.50
1997-98	-14.05	-124.64	-6.53
1998-99	-140.78	-269.12	-125.27
1999-2000	-208.86	-344.39	-166.24
2000-01	-226.01	-412.87	-200.71
2001-02	-228.50	-423.53	-167.56
2002-03	-167.04	-374.99	-83.13
2003-04	-140.47	-430.34	-109.49
2004-05	-123.18	-549.92	-226.93
2005-06	-21.86	-580.57	-180.21
2006-07 (RE)	-34.86	-688.46	-256.49
2007-08 (BE)	-7.91	-752.64	-255.64

The State slipped from a position of revenue surplus to revenue deficit during 1997-98, which may be attributable largely to the implementation of the recommendations of the Fifth Central Pay Commission. Also, the revenue deficit increased over the years. However, since 2002-03, the revenue deficit has been declining.

BOX 3.3

THE DEFICIT CONUNDRUM-A PRIMER

As per the Constitutional requirement, the Government Budget comprises Revenue and Capital components. The Revenue Budget is in respect of revenue receipts i.e., tax revenue, fees and other charges for services rendered by Government and the expenditure on normal running of the Government including interest charges and subsidies that is met from these revenues. The Capital Budget refers to the capital receipts i.e., market loans, borrowings and receipt from other debt instruments and the capital expenditure on acquisition of productive economic assets.

Alongside, the distinction between Plan and Non-Plan expenditure is significant in that plan expenditure adds to the productive capacity while non-plan expenditure maintains the existing productive capacity. Accordingly, the deficit measures have been conceptualized variously with a view to highlighting the implications of the mismatch between receipts and expenditure.

REVENUE DEFICIT

The excess of Revenue Expenditure over Revenue Receipts is termed the Revenue Deficit (RD). It signifies that the regular and routine receipts of the Government are not sufficient to meet the expenditure on its normal running. Since, this is a highly unsustainable situation, the FRBM Act has set absolute target of reducing the RD to zero.

FISCAL DEFICIT

The Fiscal Deficit (FD) is a measure of the extent to which the Government spends beyond its means by resorting to borrowings and becomes indebted in the process. Mathematically, FD = [Total Expenditure (Plan + Non Plan) – {Revenue Receipts + Recoveries of Loans + Other Receipts}]. In other words, it is the difference between the Total Expenditure and the sum of all Revenue Receipts i.e., taxes, interest on loans, dividends and profits from PSUs and Government Departments, grants, fees etc., and non-debt Capital Receipts e.g., money received by way of repayment of loan by the borrower. Hence, FD indicates the total borrowing requirements of the Government from all sources.

Since, Government has to undertake capital expenditure (investment), borrowing, per-se, for the purpose is a legitimate and feasible option. However, the level of the borrowing must not be excessive and it must be in proportion to the overall economic activity. Accordingly, the FRBM Act has set the target of reducing the FD to 3% of the GSDP, which is considered prudent and sustainable. It implies that as the economic activity increases, the absolute amount of borrowings may also increase equi-proportionately, if necessary. Thus, it is an incentive for increasing productive economic activity.

PRIMARY DEFICIT

The Primary Deficit (PD) is defined as the difference between the FD and Interest Payments. It is a measure of the extent to which the Government's borrowings are used to service old loans. A progressively high level of PD would imply that the Government is incurring additional liabilities and borrowing beyond what is necessary to pay the interest on existing loans.

6. The following are the Revenue earning initiatives of the Commercial Tax Department

The Commercial Tax Department is a revenue earning department presently administering the following Acts:

1. Goa Value Added Tax Act, 2005.
2. Goa Sales Tax Act, 1964 (repealed law)
3. Central Sales Tax Act, 1956.
4. Goa Tax on Entry of Goods Act, 2001
5. Goa Tax on Luxuries Act, 1988 and
6. Goa Entertainment Tax Act, 1964.

Central Sales Tax on the inter-State sales is being phased out gradually. During 2007-08 the CST is brought down by 1%, from existing 4% to 3% w.e.f. 1.4.2007. The Government of India, Ministry of Finance, has assured compensation of loss of revenue due to this reduction. Initially, as a part of compensation formula, the tobacco and its products are brought under the levy of State taxes. The collection of revenue under 33 specified services, which are presently monitored by Government of India (GoI), through central excise department will be transferred to the State administration along with actual collection on these services during 2007-08. More 44 services have been identified by GoI to be assigned to State Government for collection of service tax. Any loss of revenue still remaining as shortfall shall be compensated by Union Ministry of Finance, by cash compensation. This certifies the full economical support from Government of India to the State administration. Union Ministry of Finance has also taken measures to provide financial support through it by sharing the expenditure on the development of tinxys-which will monitor the inter-State movement of goods against declaration of form "C". This will help avoid bogus printing of "C" forms, unauthorized or fictitious sales and to have counter check of utilization of "C" forms. Indirectly, it will also help boosting of inter-State sales and growth in VAT revenue.

Goa being a tourism destination, Luxury Tax on accommodation has also a good role to play in the collection of tax revenue. Goa has many hotels to cater to the foreign and domestic tourists, by providing accommodation and food. The Luxury Tax on accommodation is introduced in Goa from 1.10.1988. Until 2004, the tax collection under Luxury Tax was within Rs. 25.00 crore per annum. The department simplified the tax rate schedule and levy of registration/ renewal of hoteliers has resulted in good growth in tax revenue. During 2006-07, the department collected Rs.40.00 crore and during the current year the target of Rs.50.00 crore is being exceeded.

Tourism also gives scope for promoting other services under entertainment. Considering the need of the hour, the Government of Goa has also amended the Entertainment Tax Act and Rules to cover the services like cable entertainment, boat cruises, water sports, casino games and cyber café.

The levy of Entertainment Tax on cinemas

and events has also been simplified in order to encourage the people. This has shown a good growth in entertainment tax revenue in the State from Rs. 2.00 crore in 2004-05, to a projected collection of Rs.10.00 crore during 2007-08. The establishment of multiplexes in Goa has promoted the film industry.

The Government of Goa from November 2004, introduced a subsidy scheme for up gradation of local cinema theatres in Goa. Under this scheme, the cinema theatre owners are entitled for a subsidy equal to 100% of entertainment tax collected and paid by them on cinema tickets. The subsidy is released quarterly upon their claim. This scheme will be in force until November 2009.

There is one floating casino and other nine in-house casinos. These casinos do a good business in Goa and therefore, such entertainment is covered by the levy. Although the rate of levy is very low, it has still contributed a tax of Rs. 2.50 crore approximately.

Policy guidelines: New Entertainment Tax Rules 2007, were then drafted and notified to make the amended law fully operative. The rules were notified on 21.3.2007 and the implementation has accordingly started. The amendments have proved successful, as the department has achieved good growth in tax revenue.

Follow up actions taken: The concession in rate of tax on consumer goods, exemption of Luxury Tax for accommodation upto Rs.500/- and levy of tax on tobacco and tobacco products have been brought into effect by issue of respective notification.

Measures to implement Government decisions

- To strengthen the enforcement unit and to achieve growth of revenue and settlement of arrears, the enforcement cell has started functioning and is yielding good results.
- For improvement of the systems, the Government has taken initiative to computerize the department on 100% basis. The work of development of VATsoft for improvement of DIS and MIS modules has now been assigned to NIC-SI on the basis of Karnataka State.
- The Luxury and Entertainment Tax collection has shown tremendous growth after recruitment of personnel to man the work of levying of Entertainment Tax and Luxury Tax.
- Amendments to schedules/ schedule entries have been effected, wherever required to tune the tax administration and this has proved successful.
- Procedures in the implementation of the tax statute have been simplified to meet the requirements of the common man.

Steps taken towards mobilization of resources

- List of I.T. products has been updated. The inter State sales of I.T products have been made taxable at 0.25% as against

zero earlier.

- New entries have been added to schedule "B" to capture the sales in order to fill the revenue gaps.
- Luxury Tax schedules have been revised to allow exemption upto Rs.500/-
- Exemptions proposed on educational and common man use goods were immediately brought into effect by issue of necessary notifications.
- Enforcement team has been constituted and lots of surprise visits are made to hotels, restaurants, traders and also interception of vehicles at check posts. The visits have proved successful.

New initiatives

The departmental website is updated. Act and Rules under VAT, Luxury and Entertainment Tax and the relative notifications are put on the website for information of the public. Goa Government portal includes the various services, which are being provided by the department in the process of collection of tax revenue under different statutes. The copies of new notifications are circulated to GCCI, GSIA and Institute of Chartered Accountants for circulation within their members for their information and creating awareness. Periodical interaction with the Goa Chamber are being held regarding various issues and proposals made by the public. Tuning of tax administration to make it people friendly and result oriented.

A statement showing the revenue receipts of the Commercial Tax Department from 1987-88 to 2007-08 is given in Annexure 19.